

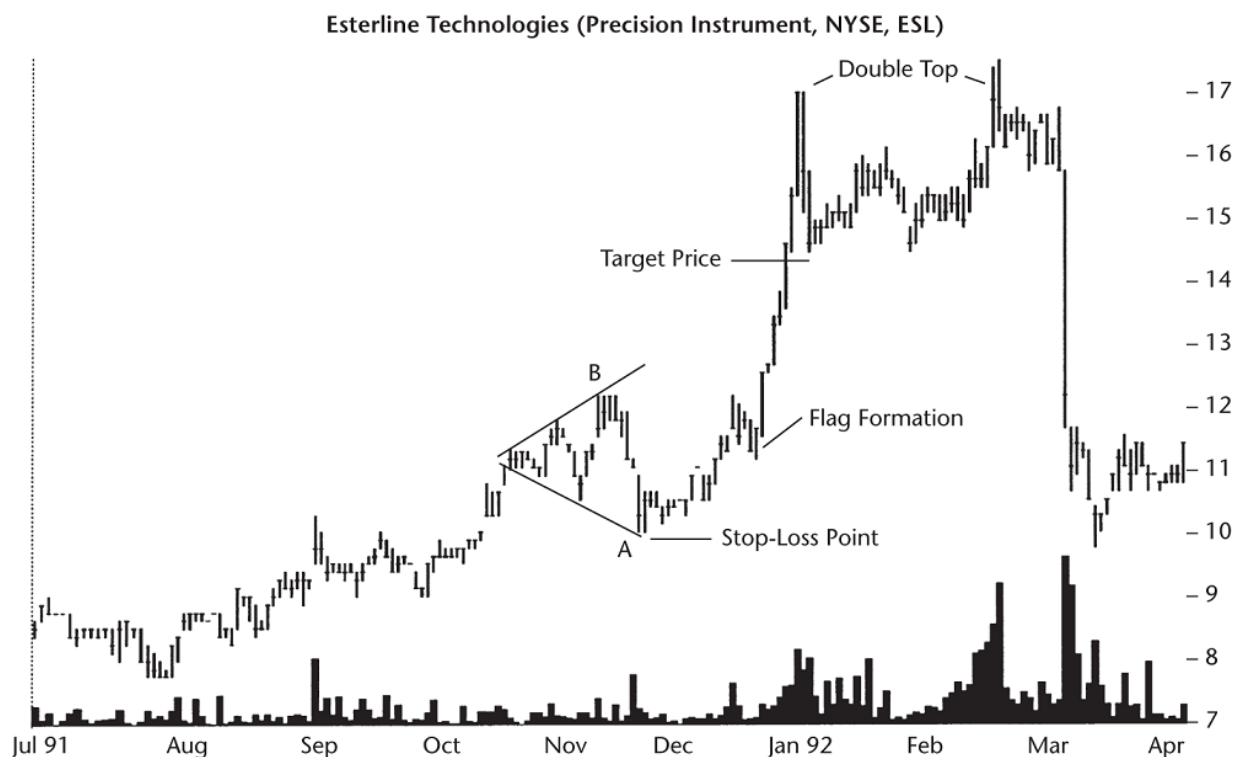


Figure 11.5 Use the measure rule to compute the target price. First, compute the formation height from the highest high to the lowest low, then add or subtract the height from the highest high or lowest low, respectively. Depending on the breakout direction, the result is the expected target price.

“Two days after the stock bottomed [at A], I bought at 10.50. I placed a stop 15 cents below the bottom of the pattern [below A] for a potential loss of 6%.”

She applied the measure rule and was looking at a target of 14.25. If everything worked as expected, that would give her a profit of over 35%.

“When price paused here,” she pointed near the start of the flag, “I wondered if the trend was going to reverse. I thought about cashing out and running to the bank, but didn't. I decided to drive.”

She winked at me and smiled at her pun.

“The flag formed, and I hoped it would be a half-staff pattern, meaning the flag was halfway up the move.” If that were true, she could expect a climb to 13.25 (that is the distance from the top of the flag (12.13) to the start of the move at 10.00 projected upward using the lowest low in the flag at 11.13).